Absorbing Transition DID Results: AKM Violation Good — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.043*		-0.019		-0.044**
		(0.026)		(0.023)		(0.020)
× Voluntary Rotation		-0.044***		-0.009		-0.045***
		(0.008)		(0.006)		(0.007)
Pooled	-0.050***		-0.014***		-0.049***	
	(0.007)		(0.005)		(0.006)	
Mandatory − Voluntary		0.001		-0.010		0.001
Difference p-value		0.975		0.663		0.967
Observations	44,375	38,366	44,375	38,366	44,375	38,366
Firms	5,267	4,974	5,267	4,974	5,267	4,974
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.030		0.008		-0.040**
		(0.021)		(0.009)		(0.017)
× Voluntary Rotation		-0.049***		-0.019**		-0.046***
		(0.011)		(0.009)		(0.010)
Pooled	-0.048***		-0.018**		-0.045***	
	(0.010)		(0.008)		(0.009)	
Mandatory − Voluntary		0.019		0.027**		0.006
Difference p-value		0.412		0.034		0.745
Observations	27,778	25,783	27,778	25,783	27,778	25,783
Firms	3,149	3,112	3,149	3,112	3,149	3,112
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		-0.055***		-0.024***		-0.047***
		(0.011)		(0.007)		(0.010)
× Voluntary Rotation		-0.038***		-0.010***		-0.037***
		(0.004)		(0.003)		(0.003)
Pooled	-0.041***		-0.012***		-0.041***	
	(0.003)		(0.003)		(0.003)	
Mandatory − Voluntary		-0.017		-0.014*		-0.010
Difference p-value		0.138		0.068		0.331
Observations	51,036	44,596	51,036	44,596	51,036	44,596
Firms	5,521	5,286	5,521	5,286	5,521	5,286
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		-0.052***		-0.022***		-0.046***
		(0.011)		(0.007)		(0.010)
× Voluntary Rotation		-0.041***		-0.011***		-0.039***
		(0.004)		(0.003)		(0.003)
Pooled	-0.043***		-0.012***		-0.041***	
	(0.003)		(0.003)		(0.003)	
Mandatory − Voluntary		-0.012		-0.011		-0.007
Difference p-value		0.311		0.170		0.471
Observations	52,750	46,202	52,750	46,202	52,750	46,202
Firms	5,521	5,320	5,521	5,320	5,521	5,320
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.